SMA-03: A Multilevel Socio-Cognitive Model for Analyzing Irreversibility
Integrating Structural, Cognitive, and Collective Dimensions of Decision Lock-in

Uberlandis Fiol Reyes
Independent Researcher, Havana, Cuba
uberlandisfolreyes74@gmail.com

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Abstract

This paper presents SMA-03, a novel multilevel framework that formally integrates structural, cognitive, biological, and collective dimensions to predict irreversibility in organizational decisions. Using logistic regression with interactions across 113 historical cases, the model achieves 80% accuracy (AUC 0.8976) in predicting the Point of No Return (PNR), with evidence suggesting that cognitive interpretation and biological predisposition modulate how actors respond to identical objective pressures. Inter-rater reliability (Cohen's $\kappa = 0.75$) supports the validity of latent construct measurement. By comparing nested models, we demonstrate that each layer (cognitive, biological, collective) contributes significantly to predictive power beyond structural pressures alone. The framework provides insights relevant to decision theory, organizational change, policy diffusion, and collective action problems.

Keywords: Irreversibility, Decision Theory, Socio-Cognitive Systems, Social Diffusion, Behavioral Economics, Organizational Change, Complex Systems, Computational Sociology

1 Introduction

1.1 The Multilevel Problem of Irreversibility

Strategic decisions create conditions where reversal becomes progressively difficult. However, the same objective pressures produce different trajectories in different organizations and individuals. Why does Company A reverse its course while Company B persists? Why do some leaders acknowledge error while others deny reality?

A prior model (Fiol Reyes, 2024) addressed this question through convergent growth of five structural pressures. This extended work argues that irreversibility operates simultaneously at three levels:

1. **Structural Level:** Objective pressures (sunk capital, compromised reputation, reorganized relationships)

2. **Cognitive Level:** Subjective interpretation filtered through belief systems shaped by socialization and biology

3. **Collective Level:** Social diffusion creates organizational lock-in transcending individual commitment

Understanding irreversibility requires analyzing all three levels.

1.2 The Explanatory Gap

Google Glass (2012–2015): The structural model predicted irreversibility by Day 210. Yet Google continued investment until Day 645. Why? Psychological override was stronger than market signals.

Netflix–MGM (2022): Clean merger, professional execution, mathematical irreversibility and psychological commitment aligned perfectly.

The socio-cognitive extension explains these divergences.

1.3 Contributions of This Extended Framework

This paper extends prior work by:

1. Adding belief system vector ($A = (C, I, S)$) capturing causal, identity, and meaning dimensions

2. Modeling belief formation through socialization dynamics

3. Incorporating biological predispositions (B) reflecting individual differences

4. Modifying irreversibility equation to integrate cognitive and biological factors

5. Adding collective dynamics showing how individual PNR creates social lock-in

6. Validating against 113 cases with socio-cognitive interpretation

7. Providing complete reproducibility materials

2 Conceptual Framework: Structural Level

The model defines irreversibility through convergent accumulation of five structural pressure dimensions:

1. **Economic Pressure (P_E):** Sunk costs, unrecoverable investments

2. **Reputational Pressure (P_R):** Stakeholder expectations, public commitments

3. **Relational Pressure (P_L):** Team reorganization, stakeholder alignment

4. **Strategic Pressure (P_S):** Competitive responses, foreclosed alternatives

5. **Emotional Pressure (P_M):** Psychological attachment, self-image investment

These pressures evolve according to logistic dynamics:

$$\frac{dP_i(t)}{dt} = r_i \cdot P_i(t) \cdot \left(1 - \frac{P_i(t)}{K_i}\right) \tag{1}$$

with solution:

$$P_i(t) = \frac{1}{1 + \exp(-r_i(t - t_i))} \tag{2}$$

The Irreversibility Index aggregates pressures multiplicatively:

$$II_{\text{structural}}(t) = \left[1 - \prod_{i \in \Omega}(1 - P_i(t))\right] \cdot D(t) \tag{3}$$

where $D(t) = 1 + \alpha \cdot b_p(t) + \beta \cdot b_i(t) + \gamma \cdot b_c(t)$ is psychological amplification.

The Point of No Return occurs when $II(t) \geq T$ (threshold $T = 0.75$).

3 Socio-Cognitive Extension: The Belief System Layer

Structural pressures do not mechanically translate into commitment. Instead, they are interpreted through belief systems:

$$A = (C, I, S) \tag{4}$$

where:

C **(Causal Belief):** Attribution of pressure to external vs. internal factors (1–5 scale)

I **(Identity Belief):** Centrality of decision to self-conception (1–5 scale)

S **(Significance Belief):** Symbolic/ideological importance (1–5 scale)

These are shaped by socialization:

$$A = f(S_P, S_S, S_T) \tag{5}$$

where S_P (primary socialization), S_S (secondary), S_T (tertiary) represent family, professional, and social influences.

Individual differences in biology also matter:

$$B = (B_R, B_E, B_C) \tag{6}$$

representing risk tolerance, emotional sensitivity, and cognitive flexibility.

The extended irreversibility equation integrates all layers:

$$II(t) = \left[1 - \prod_{i \in \Omega}(1 - P_i(t) \cdot A \cdot B)\right] \cdot D(t) \tag{7}$$

4 Collective Dynamics: Social Diffusion of Irreversibility

Individual decisions create collective lock-in through diffusion:

$$\frac{dN(t)}{dt} = \beta N(t)\left(1 - \frac{N(t)}{K}\right) \tag{8}$$

where $N(t)$ is organizational commitment fraction. The Collective Irreversibility Index is:

$$II_{\text{collective}}(t) = II_{\text{individual}}(t) \cdot N(t) + \delta(N, S, I) \tag{9}$$

5 Empirical Validation: Case Studies and Statistical Analysis

5.1 Case Study Examples

Kodak: Despite inventing digital photography, identity anchored to film ($I \approx 0.8$), low cognitive flexibility ($B_C \approx 0.4$), and external attribution ($C \approx 0.3$) prevented adaptation despite structural pressures ($P \approx 0.90$).

Blockbuster vs. Netflix: Blockbuster maintained physical rental identity ($I \approx 0.7$) despite streaming pressures, enabling Netflix dominance.

Microsoft Xbox: High risk tolerance ($B_R \approx 1.3$), cognitive flexibility ($B_C \approx 1.3$), and strategic identity ($I \approx 0.8$) enabled success despite high structural pressure ($P \approx 0.80$).

5.2 Inter-Rater Reliability and Validity of Latent Constructs

Two independent coders evaluated 30 cases (27% of sample) using operational definitions. Inter-rater agreement results:

Table 1: Inter-Rater Reliability Statistics

Variable	**Cohen's κ**	**ICC(2,1)**	**% Agree±1**	**Interpretation**
C (Causal)	0.78	0.81	87%	Substantial
I (Identity)	0.76	0.79	85%	Substantial
S (Meaning)	0.72	0.75	82%	Substantial
B_R (Risk)	0.74	0.77	84%	Substantial
B_E (Emotion)	0.75	0.78	83%	Substantial
B_C (Flexibility)	0.73	0.76	81%	Substantial
Overall Average	**0.75**	**0.78**	**84%**	**Substantial**

All variables exceeded conventional reliability thresholds ($\kappa > 0.70$, ICC > 0.75), supporting validity of latent construct measurement. Model predictions remained stable across measurement uncertainty (Accuracy 79–81%, AUC 0.88–0.90).

5.3 Statistical Analysis: Logistic Regression Model

We compared nested models of increasing complexity to demonstrate incremental value of each layer.

5.3.1 Model Specification and Comparison

Model 1 (Baseline): Structural pressures only

$$\text{logit}(PNR) = \beta_0 + \beta_1 P + \varepsilon \tag{10}$$

Model 2 (Cognitive): Structural + Belief Systems

$$\text{logit}(PNR) = \beta_0 + \beta_1 P + \beta_2 C + \beta_3 I + \beta_4 S + \varepsilon \tag{11}$$

Model 3 (Biological): Structural + Cognitive + Biological

$$\text{logit}(PNR) = \beta_0 + \beta_1 P + \beta_2 C + \beta_3 I + \beta_4 S + \beta_5 B_R + \beta_6 B_E + \beta_7 B_C + \varepsilon \tag{12}$$

Model 4 (Full): All layers + Interactions

$$\text{logit}(PNR) = \beta_0 + \beta_1 P + \beta_2 C + \beta_3 I + \beta_4 S + \beta_5 B_R + \beta_6 B_E + \beta_7 B_C + \beta_8 (P \times A) + \beta_9 (A \times B) + \varepsilon \tag{13}$$

Table 2: Nested Model Comparison: Incremental Contribution of Socio-Cognitive Layers

Model	**Accuracy**	**Precision**	**Recall**	**F1**	**ROC AUC**	**Δ Acc.**
1. Structural (P)	0.62	0.60	0.65	0.62	0.70	Baseline
2. +Cognitive (A)	0.71	0.69	0.74	0.71	0.82	+9%
3. +Biological (B)	0.78	0.76	0.81	0.78	0.87	+16%
4. Full ($P \times A \times B$)	0.80	0.78	0.82	0.80	0.8976	+18%

5.3.2 Statistical Significance Testing

McNemar's test (Model 1 vs. Model 4): $\chi^2 = 12.4, p = 0.0004$ (significant improvement).

Likelihood Ratio Tests:

- Model 1 vs. 2: $\chi^2(3) = 28.6, p < 0.001$ (cognitive layer significant)
- Model 2 vs. 3: $\chi^2(3) = 16.2, p = 0.001$ (biological layer significant)
- Model 3 vs. 4: $\chi^2(2) = 8.9, p = 0.012$ (interactions significant)

Effect size (Cramér's V): $V = 0.42$ (large effect).

5.3.3 Odds Ratios and Marginal Effects Interpretation

Table 3: Odds Ratios and Marginal Effects (Model 4 - Full SMA-03 Extended)

Predictor	**Coefficient**	**Odds Ratio**	**95% CI**	**ΔProb per 0.1↑**
P (Aggregate)	2.14	8.5	[6.2, 11.8]	+0.38
C (Causal)	1.67	5.3	[3.1, 8.9]	+0.24
I (Identity)	1.92	6.8	[4.1, 11.2]	+0.30
S (Significance)	1.81	6.1	[3.7, 10.0]	+0.27
B_R (Risk Tol.)	0.83	2.3	[1.6, 3.2]	+0.14
B_E (Emotion Sens.)	1.04	2.8	[1.9, 4.1]	+0.16
B_C (Flexibility)	-1.12	0.33	[0.18, 0.61]	-0.21
$P \times A$	0.74	2.1	[1.4, 3.1]	Synergistic
$A \times B$	0.52	1.7	[1.1, 2.6]	Synergistic

Key Interpretations:

- **Identity Belief (I, OR = 6.8):** When decisions become self-defining, reversal becomes psychologically impossible (identity threat mechanism).
- **Cognitive Flexibility (B_C, OR = 0.33):** Cognitively flexible leaders are 67% less likely to reach PNR—more likely to acknowledge error and reverse course.
- **Interaction ($P \times A$):** Structural pressure combined with strong identity beliefs creates multiplicative, not additive, lock-in.

Caution on Causality: These associations are observational. We report "associated with" rather than "causes." Reverse causality, simultaneity, or unobserved confounding remain possible, though plausibility and consistency across 113 cases suggest genuine relationships.

6 Statistical Calibration and Reproducibility

Calibration employed Ordinary Least Squares regression, Bayesian parameter estimation, and sensitivity analysis to refine structural parameters. Inter-rater reliability validation (Section 5.2) confirmed latent construct measurement validity. Nested model comparison (Tables 5B–5C) demonstrated that socio-cognitive and biological layers contribute significantly beyond structural pressures.

Extended datasets (SMA-03_DATASET_EXTENDED.json, SMA-03_DATASET_100_CASES.json) contain all 113 cases with complete specification of parameters. Calibration script (SMA-03_calibration_extended.py) implements OLS, Bayesian, and sensitivity methods.

7 Comparison with Existing Theories

SMA-03 Extended bridges:

- **Decision Theory:** Formal temporal model of PNR (beyond static RCT)
- **Behavioral Economics:** Psychological biases through belief systems and predispositions
- **Social Psychology:** Socialization as source of belief formation
- **Organizational Theory:** Explains divergent responses to identical pressures
- **Complex Systems:** Emergence of collective lock-in from individual decisions
- **Computational Sociology:** Formal framework for diffusion and contagion

8 Discussion

8.1 The Three Levels of Irreversibility

Table 4: Three Levels of Irreversibility Analysis

Level	Unit	Driver	Mechanism
Structural	Org./Market	External Pressures	Logistic Accumulation
Cognitive	Individual/Leader	Belief Systems	Psychological Lock-in
Collective	Network/Institutions	Social Diffusion	Emergent Lock-in

All three levels must be analyzed to predict irreversibility accurately. Structural analysis alone (Model 1, 62% accuracy) misses psychological override phenomena. Adding cognitive factors improves to 71%, biological to 78%, and interactions to 80%.

8.2 Implications for Practice

For decision-makers:

1. Monitor not only structural pressures but cognitive-biological fit (can leaders psychologically sustain reversal?)
2. Recognize socialization effects: identical decisions have different psychological weight for leaders from different backgrounds
3. Manage collective diffusion: once $N > 0.6$, organizational reversal becomes impossible regardless of individual sentiment
4. Design for reversibility: distributed decision-making ($\beta \approx 0.08$) preserves options longer than centralized ($\beta \approx 0.32$)

9 Limitations and Future Research

Latent constructs (C, I, S, B) require inference from behavior rather than direct measurement. Inter-rater reliability (Table 5A, $\kappa = 0.75$) supports validity, but measurement error remains. Sensitivity analysis (Section 5.2) showed predictions robust to uncertainty.

Planned extensions include primary data collection (15–20 new cases with interviews and surveys), neurobiological measurement (personality dimensions), and agent-based modeling of diffusion with empirically calibrated parameters over 18–36 months.

10 Conclusion

SMA-03 Extended presents evidence suggesting that irreversibility emerges from interaction of structure, cognition, biology, and collective dynamics. By integrating decision theory, behavioral economics, social psychology, and complex systems science, the framework offers insights applicable to organizational change, policy diffusion, social movements, and collective action problems.

The model is:

- **Theoretically integrative:** Spanning multiple disciplines
- **Empirically validated:** 80% accuracy across 113 heterogeneous cases, with inter-rater reliability supporting construct validity
- **Practically actionable:** Specific predictions enable decision architecture design
- **Fully reproducible:** Complete dataset, scripts, and calibration methods publicly available

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A Conceptual Architecture

The multilevel framework integrates structural pressures, cognitive interpretation, biological predispositions, and collective dynamics into a unified model of irreversibility. Structural pressures activate cognitive systems; cognitive systems are modulated by biology; individual commitments diffuse collectively; collective lock-in reinforces structural barriers.

B Extended Dataset Structure

SMA-03_DATASET_EXTENDED.json (13 core cases) and SMA-03_DATASET_100_CASES.json (100 validation cases) contain complete parameter specifications, belief system estimates with methodology notation, socialization indices, biological factor estimates with data sources, collective dynamics parameters, and outcome indicators.

C Implementation Pseudocode

```
FUNCTION find_pnr(P_vector, A, B, D_t, T=0.75):
    product = PRODUCT((1 - P_i*A*B) for P_i in P_vector)
    II = (1 - product) * D_t
    IF II >= T:
        RETURN PNR_found = TRUE
    ELSE:
        RETURN PNR_found = FALSE

FUNCTION logistic_regression(X, y, model_spec):
    fit model using maximum likelihood
    RETURN coefficients, odds_ratios, p_values
```